

Interviewer: Dr. Marx, thanks for taking the time. I know you've been tracking these bank failures while working on Capital.

Marx: Of course! These crises show exactly what I've been writing about.

Interviewer: The panic of 1859 wiped out banks from New York to Hamburg. What really caused it?

Marx: Your economists call it a "panic" as if it were some irrational fever! No, it's the rational outcome of an irrational system. The bourgeois try to make permanence out of something inherently destructive: capitalism. They produce endlessly, while workers get barely enough to survive. These workers make everything but can't buy it back. That contradiction has to explode eventually. As I wrote, "The ultimate reason...remains the poverty and restricted consumption of the masses".¹

Interviewer: So the crisis wasn't really a production problem, but rather one of...?

Marx: The financial crisis is just the surface. Money normally works as a universal medium of exchange. But in a crisis, everyone hoards it as all needs are reduced to money. Banks call in credit at once and the system collapses. But here's what matters: use-value and exchange-value can exist together, but they don't always align.² A coat that keeps you warm, that's its use-value.

¹ Karl Marx, "Money-Capital and Real Capital.," in *Capital : a Critique of Political Economy*, by Karl Marx and Friedrich Engels (Hamburg: Progress Publishers, 1894), III: <https://www.marxists.org/archive/marx/works/1894-c3/ch30.htm>.

² Karl Marx, "The Commodity," in *Capital : a Critique of Political Economy*, by Karl Marx and Friedrich Engels (Hamburg: Progress Publishers, 1867), I: <https://www.marxists.org/archive/marx/works/1867-c1/commodity.htm>.

But capitalism only cares about what it can sell for: exchange-value. As I wrote in the Manifesto, “The bourgeoisie... has resolved personal worth into exchange value”.³ So, during a crisis, useful goods sit unsold because workers can’t buy them.

Interviewer: But doesn’t credit help bridge that gap? Banks say lending lets workers buy more and keep things flowing.

Marx: Credit doesn’t fix anything. It’s a temporary patch that makes the eventual crisis worse. Basically, when profit from production falls, capitalists turn to speculation. Banks create “fictitious capital”⁴: loans without real value from worker’s labour. This illusion works for a time. But you can’t create value from nothing. Those debts come due, and the underlying production hasn’t created enough to repay them. When reality crashes through the credit fairytale, banks collapse.

Interviewer: After 1857, central banks stepped in with liquidity and governments tried to stabilize things. Did that work?

Marx: Ha! Work for whom? The banks that caused the mess got rescued with public funds. But workers lost everything. This is what your “democratic state” really is: “a committee for managing the common affairs of the whole bourgeoisie”.⁵ When the crisis threatens their

³ Karl Marx and Friedrich Engels, *Manifesto of the Communist Party* (London: Progress Publishers, 1848), <https://www.marxists.org/archive/marx/works/1848/communist-manifesto/ch01.htm>.

⁴ Karl Marx, "Credit and Fictitious Capital," in *Capital : a Critique of Political Economy*, by Karl Marx and Friedrich Engels (Hamburg: Progress Publishers, 1894), III: <https://www.marxists.org/archive/marx/works/1894-c3/ch25.htm>.

⁵ Karl Marx and Friedrich Engels, "Bourgeois and Proletarians," in *Manifesto of the Communist Party* (London: Progress Publishers, 1848), <https://www.marxists.org/archive/marx/works/1848/communist-manifesto/ch01.htm>.

property, suddenly money appears. Your central bank can flood the system with liquidity, restoring some confidence. But they cannot and will not address the fundamental problem, which is that workers create all the value but can't afford to buy back what they produce. These interventions just stabilize things long enough to set up the next crisis, usually bigger.

Interviewer: You've written about the falling rate of profit. Can't new technology or opening markets solve that?

Marx: Temporarily, yes. The bourgeoisie expand into new markets through imperialism and bring in new machinery. But this makes the problem worse: replacing workers with machines reduces the source of surplus value-labour. The "organic composition of capital"⁶ goes up (more invested in machinery, less in workers), but labour creates profit, thus the amount of "socially necessary labour time"⁷ per commodity drops as innovations occur. You end up with this industrialized society and huge populations, but these class-less workers have nowhere to sell their labour.

Interviewer: If capitalism keeps producing these crises, what's your alternative?

Marx: Abolish private property in the means of production.⁸ Not your personal stuff, but the social power/constrict that lets a few people own factories and land while everyone else has to

⁶ Karl Marx, "The General Law of Capitalist Accumulation," in *Capital : a Critique of Political Economy*, by Karl Marx and Friedrich Engels (Hamburg: Progress Publishers, 1867), I: <https://www.marxists.org/archive/marx/works/1867-c1/ch25.htm>.

⁷ Karl Marx, "Piece-Wages," in *Capital : a Critique of Political Economy*, by Karl Marx and Friedrich Engels (Hamburg: Progress Publishers, 1867), I: <https://www.marxists.org/archive/marx/works/1867-c1/ch21.htm>.

⁸ Karl Marx, "Private Property and Communism," in *Economic and Philosophic Manuscripts of 1844*, Marx/Engels Collected Works Series (Progress Publishers, 1884), [Page #], <https://www.marxists.org/archive/marx/works/1844/manuscripts/preface.htm>.

sell their labour to survive. Society should decide what to produce by need, not profit, and there will be no gap between production and consumption if workers control both. No financial crisis because there's no difference between what workers make and people consume. This takes revolution.

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